

Corporate Finance (in lingua inglese) - A. Y. 2025/2026 - Topic 3d: cash budgeting - solution

You have to prepare a cash budget. Please use the following information.

1. Receivables: 400 (first quarter); 350 (second quarter); 500 (third quarter); 400 (fourth quarter). 80% of the receivables are cashed in immediately and 20% are collected in the next quarter. Receivables cashed in in the first quarter concerning the previous year: 35. 2. Payables: 200 (first quarter); 300 (second quarter); 500 (third quarter); 350 (fourth quarter). Payables are paid with a delay of one quarter. Payables paid in the first quarter relating to the previous year: 320. 3. Labor and other expenses: an outflow of 20% of the receivables in each quarter. 4. The firm will pay dividends during the second quarter (280). 5. Sale of an equipment in the fourth quarter (650). 6. Quarterly interest on the outstanding debt: 28. 7. Purchase of a plant in the fourth quarter (1.500). Taxes in the third quarter: 135.

CASH BUDGET

	First quarter	Second quarter	Third quarter	Fourth quarter
Sources of cash:				
Collections on accounts receivable	355,00	360,00	470,00	420,00
Other	-	-	-	650,00
Total sources	355,00	360,00	470,00	1.070,00
Uses of cash:				
Payments on accounts payable	320,00	200,00	300,00	500,00
Labor and other expenses	80,00	70,00	100,00	80,00
Capital expenditures	-	-	-	1.500,00
Taxes, interest and dividends	28,00	308,00	163,00	28,00
Total uses	428,00	578,00	563,00	2.108,00
Sources minus uses	- 73,00	- 218,00	- 93,00	- 1.038,00
Calculation of short-term borrowing requirement:				
Cash at start of period	80,00	7,00	- 211,00	- 304,00
Change in cash balance	- 73,00	- 218,00	- 93,00	- 1.038,00
Cash at the end of period	7,00	- 211,00	- 304,00	- 1.342,00
Minimum operating balance	20,00	20,00	20,00	20,00
Cumulative financing required	13,00	231,00	324,00	1.362,00